

1 ENGROSSED HOUSE
2 BILL NO. 4072

By: Caldwell (Trey) and Kane of
the House

3 and

4 Hall and Haste of the
5 Senate

6
7 An Act related to public finance; creating the
8 Taxpayer Endowment Trust Fund Act; authorizing
9 certain reference; announcing legislative intent;
10 defining terms; creating the Taxpayer Endowment Trust
11 Fund; establishing revolving fund characteristics;
12 requiring interest and income be retained by the
13 trust fund; providing for administration, management,
14 and oversight of the trust fund; requiring certain
15 investment standards; requiring diversification of
16 investments and other risk management efforts;
17 providing exception; authorizing delegation of
18 certain authorities; limiting delegation by certain
19 standard; defining scope of investment authority;
20 authorizing certain actions by the State Treasurer
21 related to employment and contracting; making efforts
22 subject to certain approval; requiring the
23 establishment of guidelines and investment policies;
24 exempting certain contracting from the Oklahoma
Central Purchasing Act; requiring certain written
process; requiring certain administrative support be
provided; limiting administrative support;
authorizing certain reimbursements from certain
assets; requiring investments follow a written policy
including certain goals; requiring delivery of policy
and modifications of such policy to certain entities
following certain timelines; requiring the publishing
of annual reports under manner and timelines;
requiring certain elements be included in report;
limiting utilization and disposition of trust fund
assets; providing exceptions; requiring certain
computations, communications, and deposits of
distributable earnings under certain conditions;
establishing timeline for certain communications and
deposits; requiring certain action of the State Board
of Equalization; limiting the reduction of corpus;

1 amending 62 O.S. 2021, Section 34.102, which relates
2 to the Revenue Stabilization Fund; clarifying
3 terminology associated with fund deposits; amending
4 62 O.S. 2021, Section 34.103, as amended by Section
5 1, Chapter 307, O.S.L. 2025 (62 O.S. Supp. 2025,
6 Section 34.103), which relates to revenue
7 certification and apportionment by the State Board of
8 Equalization; modifying certain calculations and
9 apportionments; amending 62 O.S. 2021, Section 71.1,
10 as amended by Section 4, Chapter 308, O.S.L. 2025 (62
11 O.S. Supp. 2025, Section 71.1), which relates to the
12 Invest in Oklahoma Board; requiring the fulfillment
13 of certain duties; amending 62 O.S. 2021, Section
14 2402, as amended by Section 2, Chapter 308, O.S.L.
15 2025 (62 O.S. Supp. 2025, Section 2402), which
16 relates to public entities authorized to participate
17 in the Invest in Oklahoma Program; authorizing
18 participation by the Taxpayer Endowment Trust Fund;
19 modifying certain apportionments; amending 68 O.S.
20 2021, Section 1004, as last amended by Section 2,
21 Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025, Section
22 1004), which relates to the apportionment of proceeds
23 from the gross production tax on oil and natural gas;
24 modifying apportionments; adding apportionments;
amending 68 O.S. 2021, Section 2352, which relates to
the apportionment of proceeds from the income tax on
corporations; modifying apportionment and adding
apportionment; providing for severability; providing
for codification; providing an effective date; and
declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 34.102A-1 of Title 62, unless
there is created a duplication in numbering, reads as follows:

A. Sections 1 through 5 of this act shall be known and may be
cited as the "Taxpayer Endowment Trust Fund Act".

1 B. 1. The Legislature finds that Oklahoma's long-term economic
2 growth and fiscal stability are best served by policies that promote
3 savings, investment, and reduced reliance on income taxation.

4 2. The Legislature further finds that states with an abundance
5 of energy resources that preserve and grow a portion of those
6 revenues through investments enjoy lower taxes and budget stability.

7 3. Establishing a sovereign wealth fund enables states to
8 convert public funds into a permanent financial asset that generates
9 long-term investment income for public purposes.

10 4. It is therefore the intent of the Legislature to create a
11 trust fund that produces a significant and sustainable revenue
12 stream, preserves and protects its principal, and over time,
13 provides taxpayer relief by replacing income tax revenue through the
14 power of recurring investment and compounding interest.

15 5. The trust fund should provide a means of conserving a
16 portion of the state's revenues, especially driven by energy
17 resources, to benefit all generations of Oklahomans.

18 6. The trust fund should work in concert with efforts to reduce
19 and eliminate income tax.

20 7. The trust fund's performance goal should seek market returns
21 during the fund's growth phase lockout period.

22 8. After the lockout phase, the trust fund's performance goal
23 should be to maintain safety of principal while maximizing the total
24 return.

1 SECTION 2. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 34.102A-2 of Title 62, unless
3 there is created a duplication in numbering, reads as follows:

4 As used in the Taxpayer Endowment Trust Fund Act:

5 1. "Appreciation" means any increase in the value of assets
6 held in the Trust Fund;

7 2. "Board" means the Invest in Oklahoma Board as established in
8 Section 71.1 of Title 62 of the Oklahoma Statutes, or its successor;

9 3. "Corpus" means the principal of the Trust Fund;

10 4. "Distributable earnings" means an amount that equals up to
11 four percent (4%) of the immediately preceding five-year average
12 fiscal-year end asset valuation of the Trust Fund, as determined by
13 the Board;

14 5. "Earnings" means all income derived from the investment of
15 monies in the Trust Fund including but not limited to income,
16 earnings, interest, and investment returns;

17 6. "Trust Fund" means the Taxpayer Endowment Trust Fund;

18 7. "Interest" means income earned from the investment of funds
19 in interest-bearing instruments, including but not limited to bonds,
20 notes, and other fixed-income securities; and

21 8. "Initial deposit" means the first transfer of funds into the
22 Trust Fund as provided by law.
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24

1 SECTION 3. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 34.102A-3 of Title 62, unless
3 there is created a duplication in numbering, reads as follows:

4 A. There is hereby created in the State Treasury a trust fund
5 to be known and designated as the "Taxpayer Endowment Trust Fund".
6 The members of the Invest in Oklahoma Board shall be considered
7 trustees of the fund. The fund shall be a continuing fund, not
8 subject to fiscal year limitations, and shall consist of all monies
9 directed for deposit to the fund pursuant to legal transfers,
10 apportionments, or appropriations, as well as any interest or
11 investment income derived from such deposits. All monies accruing
12 to the credit of the said fund are hereby appropriated and may be
13 utilized in accordance with the provisions of the Taxpayer Endowment
14 Trust Fund Act.

15 B. Notwithstanding any provision of law to the contrary, all
16 interest and income derived from deposits to the Taxpayer Endowment
17 Trust Fund, shall be credited to the Trust Fund.

18 SECTION 4. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section 34.102A-4 of Title 62, unless
20 there is created a duplication in numbering, reads as follows:

21 A. The Taxpayer Endowment Trust Fund shall be administered,
22 managed, and overseen by the Invest in Oklahoma Board, with
23 administrative assistance provided by the State Treasurer and any
24 other individual or entity designated by the Board. The Board shall

1 invest the assets of the Trust Fund with the care, skill, prudence,
2 and diligence under the circumstances then prevailing that a prudent
3 investor acting in a like capacity and familiar with such matters
4 would use in the conduct of an enterprise of a like character and
5 with like aims. Additionally, the Board shall diversify the
6 investments of the Trust Fund so as to minimize the risk of large
7 losses, unless under the circumstances it is clearly prudent not to
8 do so. The Board may take or delegate all actions reasonably
9 necessary to administer, manage, and protect the Trust Fund but only
10 in a manner that meets the standard provided in this subsection.

11 B. Notwithstanding the provisions of Section 89.2 of Title 62
12 of the Oklahoma Statutes, the Board may invest and reinvest assets
13 of the Trust Fund in any manner not prohibited by law, including but
14 not limited to real property assets, stock, and other equity
15 investments.

16 C. Subject to Board approval, the State Treasurer shall:

17 1. Employ or contract for the services of professional
18 custodians, consultants, and managers of the assets of the Trust
19 Fund, including legal counsel as needed;

20 2. Establish investment and fund management guidelines; and

21 3. Adopt an investment policy.

22 D. The contracting for services described in paragraph 1 of
23 subsection C of this section shall be exempt from the Oklahoma
24

1 Central Purchasing Act, but shall be conducted by the State
2 Treasurer under a written process approved by the Board.

3 E. The State Treasurer shall provide administrative support to
4 the Board as needed; provided such support does not exceed that of
5 two (2) full-time equivalent employees employed by the State
6 Treasurer.

7 F. The State Treasurer may seek reimbursement, and the Board
8 may reimburse from Trust Fund assets, the expenses incurred by the
9 State Treasurer's Office for the performance of the duties assigned
10 by this act to the State Treasurer.

11 SECTION 5. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 34.102A-5 of Title 62, unless
13 there is created a duplication in numbering, reads as follows:

14 A. Investments of Taxpayer Endowment Trust Fund assets by the
15 Board shall be made in accordance with written policies developed by
16 the Board. The written investment policies shall prioritize:

17 1. Generating long-term investment income for public purposes;
18 and

19 2. Preserve and protect the Trust Fund's principal while
20 maximizing the Trust Fund's total return;

21 The written investment policies shall be designed to maximize
22 yield within each class of investment instrument, consistent with
23 the safety of the assets invested.

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1 B. 1. Not later than July 1 of each year, the Board shall
2 forward a copy of the written investment policy to the Governor, the
3 Speaker of the Oklahoma House of Representatives, the President Pro
4 Tempore of the Oklahoma State Senate, and the State Treasurer. The
5 State Treasurer shall maintain one copy of the investment policy in
6 the Office of the State Treasurer for public inspection during
7 regular business hours. Copies of any modifications made by the
8 Board to the investment policy shall be forwarded to the Governor,
9 Speaker of the House of Representatives, the President Pro Tempore
10 of the Senate, and the State Treasurer;

11 2. Not later than November 1 of each year, the Board, through
12 the efforts of the State Treasurer, shall publish an annual report
13 on the State Treasurer's website, including the Trust Fund's
14 financial statements, statements of receipts and disbursements
15 related to trust fund assets and investment activities during the
16 period, relevant market value appraisals of assets, comparisons of
17 Trust Fund performance to internal benchmarks, a summary of
18 investment activity during the period, and any other information the
19 Board deems of interest to the public.

20 SECTION 6. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 34.102A-6 of Title 62, unless
22 there is created a duplication in numbering, reads as follows:

23 A. Except for the reimbursement of the State Treasurer as
24 allowed under the provisions of this act, no monies of any kind,

1 including but not limited to earnings, interest, or appreciation,
2 shall be appropriated from the Taxpayer Endowment Trust Fund prior
3 to:

4 1. The state fiscal year following an end-of-year valuation of
5 the Trust Fund that exceeds One Billion Dollars (\$1,000,000,000.00);
6 or

7 2. The expiration of the ten-year period following the initial
8 deposit to the Trust Fund.

9 B. Following the occurrence of a condition established in
10 subsection A of this section, the Board shall:

11 1. No later than November 30 of each year, communicate to the
12 State Board of Equalization the amount of distributable earnings
13 available from the Trust Fund as calculated pursuant to the
14 conditions of the Trust Fund in effect June 30 of such year. Such
15 earnings shall be certified by the State Board of Equalization as
16 General Revenue for the then forthcoming state fiscal year; and

17 2. On July 1, deposit an amount equal to the amount certified
18 by the State Board of Equalization pursuant to paragraph 1 of this
19 subsection to the General Revenue Fund. Such deposit shall occur
20 July 1 of the state fiscal year for which the funds are certified.

21 C. Except as allowed or required by the provisions of this
22 section the corpus of the Trust Fund shall not be reduced.

23 SECTION 7. AMENDATORY 62 O.S. 2021, Section 34.102, is
24 amended to read as follows:

1 Section 34.102. A. There is hereby created in the State
2 Treasury a revolving fund to be known and designated as the "Revenue
3 Stabilization Fund". The fund shall be a continuing fund, not
4 subject to fiscal year limitations.

5 B. For determinations made regarding deposits for fiscal years
6 beginning on or after July 1, 2019, no monies shall be deposited to
7 the credit of the Revenue Stabilization Fund until such time as the
8 amount of actual revenue certified by the State Board of
9 Equalization as having been deposited into the General Revenue Fund
10 for the first fiscal year prior to the beginning of the fiscal year
11 that deposits to the Revenue Stabilization Fund are first made
12 equals or exceeds Six Billion Six Hundred Million Dollars
13 (\$6,600,000,000.00).

14 C. Once the provisions prescribed by subsection B of this
15 section have been met, deposits to the Revenue Stabilization Fund as
16 prescribed by this section may be made during any subsequent fiscal
17 year according to the requirements and limitations imposed by this
18 act; provided that no deposits shall be made during a fiscal year
19 where the State Board of Equalization General Revenue Fund
20 certification for said fiscal year is less than the State Board of
21 Equalization General Revenue Fund certification for the previous
22 fiscal year plus an increment equal to the amount otherwise
23 calculated for deposit pursuant to subsection E of this section.

1 D. Notwithstanding any other provisions of this section, unless
2 such deposits are the result of a direct appropriation to the
3 Revenue Stabilization Fund by the Legislature, no monies shall be
4 deposited to the credit of the Revenue Stabilization Fund:

5 1. For any month during a fiscal year after the month during
6 which the declaration of a revenue failure pursuant to the
7 provisions of Section 34.49 of this title has been made. For
8 purposes of this subsection, the limitation on deposits to the
9 Revenue Stabilization Fund shall be imposed for the remaining months
10 of the fiscal year during which the revenue failure was declared,
11 but shall not operate as a limitation upon deposits for any
12 subsequent fiscal year unless a revenue failure is declared at some
13 time during such fiscal year; or

14 2. That would cause deposits to the Revenue Stabilization Fund
15 for the fiscal year to exceed three percent (3%) of the State Board
16 of Equalization General Revenue Fund certification for that fiscal
17 year.

18 E. Except as provided in subsection I of this section, the
19 Revenue Stabilization Fund shall ~~consist of~~ receive as deposits:

20 1. ~~One hundred percent (100%)~~ Seventy-five percent (75%) of the
21 revenue derived from the gross production tax on oil levied pursuant
22 to Section 1001 of Title 68 of the Oklahoma Statutes which is in
23 excess of the five-year average computed as prescribed by Section
24 34.103 of this title;

1 2. ~~One hundred percent (100%)~~ Seventy-five percent (75%) of the
2 revenue derived from the gross production tax on natural gas levied
3 pursuant to Section 1001 of Title 68 of the Oklahoma Statutes which
4 is in excess of the five-year average computed as prescribed by
5 Section 34.103 of this title;

6 3. Seventy-five percent (75%) of the revenue derived from
7 corporate income tax levied pursuant to Section 2355 of Title 68 of
8 the Oklahoma Statutes which is in excess of the five-year average
9 computed as prescribed by Section 34.103 of this title; and

10 4. Any amounts appropriated by the Legislature.

11 F. 1. Except as provided in paragraph 2 of this subsection, in
12 the event that a revenue failure is declared with respect to the
13 General Revenue Fund pursuant to Section 34.49 of this title, the
14 Director of the Office of Management and Enterprise Services may
15 withdraw up to one-quarter (1/4) of the balance of the Revenue
16 Stabilization Fund available at the beginning of the fiscal year,
17 provided the total amount withdrawn shall not exceed the amount of
18 the declared revenue failure, to in equal proportions reduce or
19 avoid reductions to agencies for the current fiscal year and to
20 mitigate potential reductions of funds to be expended by common
21 school districts which were appropriated or authorized by the
22 Legislature, but excluding any funds which are apportioned directly
23 to common school districts.

1 2. For the fiscal year ending June 30, 2020, in the event that
2 a revenue failure is declared with respect to the General Revenue
3 Fund pursuant to Section 34.49 of this title, the Director of the
4 Office of Management and Enterprise Services may withdraw amounts up
5 to a total of one-half (1/2) of the highest balance during the
6 fiscal year ending June 30, 2020, of the Revenue Stabilization Fund;
7 provided, the total amount withdrawn shall not exceed the amount of
8 the declared revenue failure less any appropriations made by the
9 Legislature to offset such revenue failure, to in equal proportions
10 reduce or avoid reductions to agencies for the fiscal year and to
11 mitigate potential reductions of funds to be expended by common
12 school districts which were appropriated or authorized by the
13 Legislature for the fiscal year ending June 30, 2020, but excluding
14 any funds which are apportioned directly to common school districts.
15 No monies shall be withdrawn under the provisions of this subsection
16 for the purpose of reducing or avoiding reductions of appropriations
17 made pursuant to Section 129 of Enrolled House Bill No. 2765 of the
18 1st Session of the 57th Oklahoma Legislature or Section 1 of
19 Enrolled Senate Bill No. 1076 of the 1st Session of the 57th
20 Oklahoma Legislature.

21 G. In the event that a revenue failure is declared with respect
22 to the General Revenue Fund pursuant to Section 34.49 of this title,
23 the Legislature may appropriate up to one-quarter (1/4) of the
24 balance of the Revenue Stabilization Fund available at the beginning

1 of the fiscal year, not to exceed the amount of the revenue failure
2 as declared with respect to the General Revenue Fund pursuant to
3 Section 34.49 of this title.

4 H. If the amount of revenue certified by the State Board of
5 Equalization at its February meeting in any year to be collected in
6 the General Revenue Fund for the upcoming fiscal year is less than
7 the amount of revenue certified by the State Board of Equalization
8 to be collected in the General Revenue Fund for the current fiscal
9 year as determined at its February meeting conducted in the
10 preceding calendar year, the Legislature may appropriate up to one-
11 half (1/2) of the balance of the Revenue Stabilization Fund
12 available at the beginning of the fiscal year; provided, that the
13 amount withdrawn shall not exceed the amount of the decline in
14 revenue certified.

15 I. If during the Board of Equalization certification process,
16 one or more of the revenue sources identified in paragraphs 1, 2,
17 and 3 of subsection E of this section are forecasted to experience a
18 revenue decrease, then the total deposits to the Revenue
19 Stabilization Fund as otherwise calculated under subsection E of
20 this section shall be reduced in an amount equal to such revenue
21 decreases. For purposes of this subsection, "revenue decrease"
22 means an identified revenue source derived in an amount less than
23 the five-year average for such revenue source.

1 SECTION 8. AMENDATORY 62 O.S. 2021, Section 34.103, as
2 amended by Section 1, Chapter 307, O.S.L. 2025 (62 O.S. Supp. 2025,
3 Section 34.103), is amended to read as follows:

4 Section 34.103. A. In addition to any other duties prescribed
5 by law, at the meeting required by Section 23 of Article X of the
6 Oklahoma Constitution to be held in February of 2017, and at the
7 February meeting of the State Board of Equalization each year
8 thereafter, the State Board of Equalization shall certify:

9 1. For the revenue derived from the tax levied on oil pursuant
10 to Section 1001 of Title 68 of the Oklahoma Statutes, which would
11 otherwise be apportioned to the General Revenue Fund, the average
12 annual amount of actual revenue apportioned to the General Revenue
13 Fund for the immediately preceding five (5) complete fiscal years.
14 For any year after the first year during which a deposit to the
15 Revenue Stabilization Fund is made, the amount of any deposit to the
16 Revenue Stabilization Fund shall be disregarded for purposes of this
17 paragraph and the average shall be computed using the total amount
18 of revenue that was available to be apportioned to the General
19 Revenue Fund for the applicable period of time;

20 2. For the revenue derived from the tax levied on natural gas
21 pursuant to Section 1001 of Title 68 of the Oklahoma Statutes, which
22 would otherwise be apportioned to the General Revenue Fund, the
23 average annual amount of actual revenue apportioned to the General
24 Revenue Fund for the previous five (5) fiscal years. For any year

1 after the first year during which a deposit to the Revenue
2 Stabilization Fund is made, the amount of any deposit to the Revenue
3 Stabilization Fund shall be disregarded for purposes of this
4 paragraph and the average shall be computed using the total amount
5 of revenue that was available to be apportioned to the General
6 Revenue Fund for the applicable period of time; and

7 3. For the revenue derived from the corporate income tax levied
8 pursuant to Section 2355 of Title 68 the Oklahoma Statutes, which
9 would otherwise be apportioned to the General Revenue Fund, the
10 average annual amount of actual revenue apportioned to the General
11 Revenue Fund for the previous five (5) fiscal years. For any year
12 after the first year during which a deposit to the Revenue
13 Stabilization Fund is made, the amount of any deposit to the Revenue
14 Stabilization Fund shall be disregarded for purposes of this
15 paragraph and the average shall be computed using the total amount
16 of revenue that was available to be apportioned to the General
17 Revenue Fund for the applicable period of time.

18 B. If the amount of revenue available for apportionment to the
19 General Revenue Fund for the next ensuing fiscal year exceeds the
20 amounts certified pursuant to paragraph 1 ~~or~~, 2, or 3 of subsection
21 A of this section, with respect to each such revenue source, ~~one~~
22 ~~hundred percent (100%)~~ seventy-five percent (75%) of such amount in
23 excess of the separately computed five-year average, which would
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1 otherwise be apportioned to the General Revenue Fund, shall be
2 deposited to the credit of the Revenue Stabilization Fund.

3 C. If the amount of revenue available for apportionment to the
4 General Revenue Fund for the next ensuing fiscal year exceeds the
5 amount certified pursuant to paragraph 1, 2, or 3 of subsection A of
6 this section:

7 ~~1. Twenty-five percent (25%) of such amount in excess of the~~
8 ~~five-year average, which would otherwise be apportioned to the~~
9 ~~General Revenue Fund, shall be deposited to the credit of the~~
10 ~~Constitutional Reserve Fund unless such deposit would exceed the~~
11 ~~maximum balance permitted pursuant to Section 23 of Article X of the~~
12 ~~Oklahoma Constitution and in such case the amount in excess of the~~
13 ~~maximum balance shall be deposited to the credit of the Revenue~~
14 ~~Stabilization Fund; and~~

15 ~~2. Seventy-five percent (75%) of such amount in excess of the~~
16 ~~five-year average, which would otherwise be apportioned to the~~
17 ~~General Revenue Fund, shall be deposited to the credit of the~~
18 ~~Revenue Stabilization Fund, together with any amount required for~~
19 ~~deposit pursuant to the provisions of paragraph 1 of this~~
20 ~~subsection, with respect to each such revenue source, twenty-five~~
21 ~~percent (25%) of such amount in excess of the separately computed~~
22 ~~five-year average, which would otherwise be apportioned to the~~
23 ~~General Revenue Fund, shall be deposited to the credit of the~~
24 ~~Taxpayer Endowment Trust Fund created by Section 3 of this act.~~

1 D. 1. As used in this subsection and as used in subsection D
2 of Section 2355 of Title 68 of the Oklahoma Statutes:

3 a. "base year total collections" means the amount of
4 revenue certified by the State Board of Equalization
5 at its December meeting and includes all revenue
6 sources reported in the annual report of the Oklahoma
7 Tax Commission excluding any tax collected by the
8 Commission from levies imposed by counties, cities,
9 towns or any other entity of local government, which
10 for purposes of implementation of any income tax rate
11 reductions otherwise authorized by this act shall be
12 the highest preceding total collections amount as
13 defined by subparagraph b of this paragraph. For
14 purposes of reporting total collections for purposes
15 of this subsection, the Oklahoma Tax Commission shall
16 use the same methodology used to report estimated
17 revenues to the State Board of Equalization that was
18 used to make the report for the December 2024 meeting,

19 b. "highest preceding total collections" means the
20 largest amount of revenue reported for any single
21 fiscal year prior to the immediately preceding full
22 fiscal year, determined by the State Board of
23 Equalization at its December meeting and including all
24 revenue sources reported in the annual report of the

Oklahoma Tax Commission excluding any tax collected by the Commission from levies imposed by counties, cities, towns or any other entity of local government. For purposes of reporting total collections for purposes of this subsection, the Oklahoma Tax Commission shall use the same methodology used to report estimated revenues to the State Board of Equalization that was used to make the report for the December 2024 meeting,

c. "income tax rate reduction threshold" means the amount of revenue determined by the Oklahoma Tax Commission for twelve (12) months comprising a single tax year predicted to be foregone as a result of any reduction in income tax rates pursuant to the provisions of this act, including the provisions of subsection D of Section 2355 of Title 68 of the Oklahoma Statutes multiplied by the number one and twenty-five hundredths (1.25). The income tax rate reduction cost threshold shall not be less than the amount of revenue loss attributable to a reduction in the income tax rates for the previous fiscal year and shall not be greater than such revenue loss for the previous fiscal year multiplied by the number one and twenty-five hundredths (1.25), and

1 d. "comparison year total collections" means the amount
2 of revenue determined by the State Board of
3 Equalization at its December meeting for the
4 immediately preceding fiscal year and includes all
5 revenue sources reported in the annual report of the
6 Oklahoma Tax Commission excluding any tax collected by
7 the Commission from levies imposed by counties,
8 cities, towns or any other entity of local government.
9 For purposes of reporting total collections for
10 purposes of this subsection, the Oklahoma Tax
11 Commission shall use the same methodology used to
12 report estimated revenues to the State Board of
13 Equalization that was used to make the report for the
14 December 2024 meeting.

15 2. In addition to any other duties prescribed by law, at the
16 meeting required by Section 23 of Article X of the Oklahoma
17 Constitution to be held in December of 2026, and at the December
18 meeting of the State Board of Equalization each year thereafter, the
19 State Board of Equalization shall make a preliminary certification:

- 20 a. and report the base year total collections, the income
21 tax rate reduction threshold, and the comparison year
22 total collections,
23 b. if the comparison year total collections amount
24 exceeds the base year total collections amount plus

1 the income tax reduction cost threshold, the tax rates
2 otherwise prescribed pursuant to subsection D of
3 Section 2355 of Title 68 of the Oklahoma Statutes
4 shall be reduced according to the provisions of
5 Section 2355 of Title 68 of the Oklahoma Statutes and
6 any reduction in such rates shall become effective on
7 the January 1 date following the final February
8 certification by the State Board of Equalization that
9 an income tax rate reduction is authorized by the
10 provisions of this act, and

11 c. with respect to all subsequent meetings of the Board,
12 the Board shall make a preliminary finding at its
13 December meeting each year and, if the requirements of
14 this act are fulfilled, the State Board shall make a
15 final determination at its February meeting each year
16 whether the comparison year total collections exceeds
17 the base year total collections plus the income tax
18 reduction cost threshold, and a reduction in the
19 income tax rates otherwise prescribed pursuant to
20 paragraphs 1 and 2 of subsection D of Section 2355 of
21 Title 68 of the Oklahoma Statutes shall be implemented
22 and any reduction in such rates shall become effective
23 on the January 1 date following the final February
24 certification by the State Board of Equalization that

1 an income tax rate reduction is authorized by the
2 provisions of this act.

3 3. In addition to any other requirements of this act for the
4 implementation of a reduction of individual income tax rates
5 pursuant to this subsection and pursuant to subsection E of Section
6 2355 of Title 68 of the Oklahoma Statutes, at the State Board of
7 Equalization meeting to be held in December 2026, the State Board
8 must certify that the revenues accruing to certified funds during
9 the first five and one-half (5 1/2) months of fiscal year ending
10 June 30, 2027, were within ninety-five percent (95%) of the estimate
11 made in February 2026, and no revenue failure was declared.

12 SECTION 9. AMENDATORY 62 O.S. 2021, Section 71.1, as
13 amended by Section 4, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025,
14 Section 71.1), is amended to read as follows:

15 Section 71.1. A. There is hereby created the Invest in
16 Oklahoma Board. The Board shall consist of five (5) members as
17 follows:

- 18 1. The Governor, or designee;
 - 19 2. The Lieutenant Governor, or designee;
 - 20 3. The State Treasurer, or designee;
 - 21 4. An appointee of the Speaker of the House of Representatives
22 who shall serve at the Speaker's pleasure; and
- 23
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1 5. An appointee of the President Pro Tempore of the Oklahoma
2 State Senate who shall serve at the President Pro Tempore's
3 pleasure.

4 B. The appointed and designated members shall have no direct or
5 indirect business relationship with the State Treasurer or the State
6 Treasurer's Office.

7 C. The Governor or Governor's designee shall serve as
8 chairperson.

9 D. The Board shall hold regular meetings not less than one per
10 quarter, and at such other times as it deems necessary for the
11 performance of its duties. The date, time and place of the meetings
12 shall be set by the chairperson. The State Treasurer shall provide
13 the administrative support required by the Board. The Board shall
14 be staffed by efforts under the control of the State Treasurer who
15 shall prepare all materials and information needed by the Board to
16 perform its duties and responsibilities. Meetings of the Board
17 shall be subject to the Oklahoma Open Meeting Act, and their records
18 shall be public records pursuant to the Oklahoma Open Records Act.

19 E. The Board shall develop a standardized and uniform reporting
20 system which the State Treasurer shall use to make the reports
21 required by Section 89.7 of this title. The Board shall prescribe
22 such forms in order to obtain an objective and accurate analysis of
23 the investment of state funds by the State Treasurer and to obtain
24 an accurate analysis of investment performance according to an

1 objective standard established by the Board. The Board shall not be
2 subject to the provisions of the Administrative Procedures Act for
3 purposes of developing the reporting system required by this
4 subsection. The Board shall review the reports prepared by the
5 State Treasurer pursuant to Section 89.7 of this title. The Board
6 shall review with the State Treasurer investment strategies and
7 practices and the development of internal auditing procedures and
8 practices. The Board shall review the reports submitted by the
9 State Treasurer and shall identify any event, transaction or trend
10 which the Board determines to represent a violation or potential
11 violation of law or public policy regarding the investment of state
12 funds. The Board shall specifically identify its concerns or
13 objections and shall communicate such concerns or objections in
14 writing to the State Treasurer.

15 F. The State Treasurer shall maintain a report available to
16 each member of the Board which specifically identifies entities with
17 whom or with which the State Treasurer has transacted business
18 related to investment of any state funds. Any person or entity to
19 whom or to which any form of compensation has been or will be paid
20 for services rendered to the State Treasurer's Office related to the
21 investment of state funds shall be identified in such report. Such
22 report shall also be available to the Director of the Office of
23 Management and Enterprise Services, the State Auditor and Inspector,
24

1 the Speaker of the House of Representatives, the President Pro
2 Tempore of the Senate and the Governor.

3 G. Members of the Board shall serve without compensation,
4 except for travel, pursuant to the State Travel Reimbursement Act,
5 to be paid by the appointing authority.

6 H. The Board shall establish and adopt investment parameters
7 related to investments in Oklahoma-based private equity funds,
8 venture capital funds, growth funds, and direct investments in
9 Oklahoma companies authorized under the Invest in Oklahoma program;
10 provided that by a unanimous vote of the Board such parameters may
11 be exceeded with regard to investments to the extent allowable under
12 the Oklahoma Constitution.

13 I. The Board shall exercise confirmation and approval authority
14 over the appointment and contractual relationships of qualified
15 investment advisors and fiduciary managers engaged by the State
16 Treasurer to assist in the selection of the investments authorized
17 under the Invest in Oklahoma program.

18 K. The Board shall fulfill the duties assigned to the Board
19 pursuant to the Taxpayer Endowment Trust Fund Act.

20 SECTION 10. AMENDATORY 62 O.S. 2021, Section 2402, as
21 amended by Section 2, Chapter 308, O.S.L. 2025 (62 O.S. Supp. 2025,
22 Section 2402), is amended to read as follows:

23 Section 2402. The following public entities are encouraged to
24 and may invest up to five percent (5%) of their rolling three (3)

1 year assets under management with the Invest In Oklahoma Program
2 approved venture capital and growth funds as provided in Section 2
3 of this act:

4 1. The Board of Investors of the Tobacco Settlement Endowment
5 Trust Fund;

6 2. The Commissioners of the Land Office;

7 3. The Teachers' Retirement System of Oklahoma;

8 4. The Oklahoma Public Employees Retirement System;

9 5. The Oklahoma Firefighters Pension and Retirement System;

10 6. The Oklahoma Police Pension and Retirement System;

11 7. The Oklahoma Law Enforcement Retirement System;

12 8. The Uniform Retirement System for Justices and Judges; ~~and~~

13 9. The Department of Wildlife Conservation Retirement Fund; and

14 10. The Taxpayer Endowment Trust Fund.

15 B. The State Treasurer, acting within parameters established by
16 the Invest in Oklahoma Board is authorized to and may place cash
17 balance amounts in service with the Invest In Oklahoma program. For
18 purposes of this subsection, the term "cash balance amounts" shall
19 not include any monies deposited in or directed for deposit to:

20 1. The General Revenue Fund;

21 2. The Revenue Stabilization Fund;

22 3. The Education Reform Revolving Fund;

23 4. The Rate Preservation Fund;

24 5. Any Fund created under the Oklahoma Constitution;

1 6. Any fund from which the Legislature through law has
2 authorized, appropriated, or transferred monies within the preceding
3 three (3) fiscal years; or

4 7. Any revolving fund in the State Treasury specified for
5 direct appropriation or authorization from the Legislature, or any
6 revolving fund assigned to a state agency, unless such state agency
7 specifically authorizes such investments from such fund and such
8 authorization was approved by Invest in Oklahoma Board.

9 SECTION 11. AMENDATORY 68 O.S. 2021, Section 1004, as
10 last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp.
11 2025, Section 1004), is amended to read as follows:

12 Section 1004. A. As used in this section:

13 1. "Moving five-year average amount for gas" means, for
14 purposes of the apportionments prescribed by this section, the
15 amount of gross production tax on natural gas collected for each of
16 the five (5) complete fiscal years, as computed by the State Board
17 of Equalization pursuant to Section 34.103 of Title 62 of the
18 Oklahoma Statutes; and

19 2. "Moving five-year average amount for oil" means, for
20 purposes of the apportionments prescribed by this section, the
21 amount of gross production tax on oil collected for each of the five
22 (5) complete fiscal years, as computed by the State Board of
23 Equalization pursuant to Section 34.103 of Title 62 of the Oklahoma
24 Statutes.

1 B. Beginning July 1, 2017, the gross production tax provided
2 for in Section 1001 of this title is hereby levied and shall be
3 collected and apportioned as follows:

4 1. For all monies collected from the tax levied on asphalt or
5 ores bearing uranium, lead, zinc, jack, gold, silver or copper:

6 a. eighty-five and seventy-two one-hundredths percent
7 (85.72%) shall be paid to the State Treasurer of the
8 state to be placed in the General Revenue Fund of the
9 state and used for the general expense of state
10 government, to be paid out pursuant to direct
11 appropriation by the Legislature,

12 b. seven and fourteen one-hundredths percent (7.14%) of
13 the sum collected from natural gas and/or casinghead
14 gas or asphalt or ores bearing uranium, lead, zinc,
15 jack, gold, silver or copper shall be paid to the
16 various county treasurers to be credited to the County
17 Highway Fund as follows: Each county shall receive a
18 proportionate share of the funds available based upon
19 the proportion of the total value of production from
20 such county in the corresponding month of the
21 preceding year, and

22 c. seven and fourteen one-hundredths percent (7.14%)
23 shall be allocated to each county as provided for in
24 subparagraph b of this paragraph and shall be

1 apportioned, on an average daily attendance per capita
2 distribution basis, as certified by the State
3 Superintendent of Public Instruction to the school
4 districts of the county where such pupils attend
5 school regardless of residence of such pupil, provided
6 the school district makes an ad valorem tax levy of
7 fifteen (15) mills for the current year and maintains
8 twelve (12) years of instruction;

9 2. For all monies collected from the tax levied on natural gas
10 and/or casinghead gas at a tax rate of seven percent (7%) pursuant
11 to the provisions of subsection B of Section 1001 of this title:

12 a. after the total revenue apportioned to the General
13 Revenue Fund as prescribed by subparagraph b of this
14 paragraph equals the moving five-year average amount
15 for gas as defined by paragraph 1 of subsection A of
16 this section, there shall be apportioned from the
17 gross production tax levy imposed pursuant to Section
18 1001 of this title on natural gas and/or casinghead
19 gas:

20 (1) seventy-five percent (75%) to the Revenue
21 Stabilization Fund created by Section 34.102 of
22 Title 62 of the Oklahoma Statutes, the amount of
23 revenue, if any, which exceeds the moving five-
24 year average amount for gas as defined pursuant

1 to paragraph 1 of subsection A of this section,
2 and

3 (2) twenty-five percent (25%) to the Taxpayer
4 Endowment Trust Fund created by Section 3 of this
5 act, the amount of revenue, if any, which exceeds
6 the moving five-year average amount for gas as
7 defined pursuant to paragraph 1 of subsection A
8 of this section,

9 b. until the apportionment to the General Revenue Fund
10 equals the moving five-year average amount for gas as
11 prescribed by paragraph 1 of subsection A of this
12 section, eighty-five and seventy-two one-hundredths
13 percent (85.72%) shall be paid to the State Treasurer
14 of the state to be placed in the General Revenue Fund
15 of the state and used for the general expense of state
16 government, to be paid out pursuant to direct
17 appropriation by the Legislature,

18 c. before any other apportionment of revenue has been
19 made pursuant to this paragraph, seven and fourteen
20 one-hundredths percent (7.14%) of the sum collected
21 from natural gas and/or casinghead gas shall be paid
22 to the various county treasurers to be credited to the
23 County Highway Fund as follows: Each county shall
24 receive a proportionate share of the funds available

1 based upon the proportion of the total value of
2 production from such county in the corresponding month
3 of the preceding year, and

4 d. before any other apportionment of revenue has been
5 made pursuant to this paragraph, seven and fourteen
6 one-hundredths percent (7.14%) shall be allocated to
7 each county as provided for in subparagraph c of this
8 paragraph and shall be apportioned, on an average
9 daily attendance per capita distribution basis, as
10 certified by the State Superintendent of Public
11 Instruction to the school districts of the county
12 where such pupils attend school regardless of
13 residence of such pupil, provided the school district
14 makes an ad valorem tax levy of fifteen (15) mills for
15 the current year and maintains twelve (12) years of
16 instruction;

17 3. For all monies collected from the tax levied on natural gas
18 and/or casinghead gas at a tax rate of four percent (4%) pursuant to
19 the provisions of subsection B of Section 1001 of this title:

20 a. after the total revenue apportioned to the General
21 Revenue Fund as prescribed by subparagraph b of this
22 paragraph equals the moving five-year average amount
23 for gas as defined by paragraph 1 of subsection A of
24 this section, there shall be apportioned from the

gross production tax levy imposed pursuant to Section 1001 of this title on natural gas and/or casinghead gas:

(1) seventy-five percent (75%) to the Revenue

Stabilization Fund created pursuant to Section 34.102 of Title 62 of the Oklahoma Statutes, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section, and

(2) twenty-five percent (25%) to the Taxpayer

Endowment Trust Fund created by Section 3 of this act, the amount of revenue, if any, which exceeds the moving five-year average amount for gas as defined pursuant to paragraph 1 of subsection A of this section,

- b. until the apportionment to the General Revenue Fund equals the moving five-year average amount for gas as prescribed by paragraph 1 of subsection A of this section, seventy-five percent (75%) shall be paid to the State Treasurer of the state to be placed in the General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

1 c. before any other apportionment of revenue has been
2 made pursuant to this paragraph, twelve and one-half
3 percent (12.5%) of the sum collected from natural gas
4 and/or casinghead gas shall be paid to the various
5 county treasurers to be credited to the County Highway
6 Fund as follows: Each county shall receive a
7 proportionate share of the funds available based upon
8 the proportion of the total value of production from
9 such county in the corresponding month of the
10 preceding year, and

11 d. before any other apportionment of revenue has been
12 made pursuant to this paragraph, twelve and one-half
13 percent (12.5%) shall be allocated to each county as
14 provided for in subparagraph c of this paragraph and
15 shall be apportioned, on an average daily attendance
16 per capita distribution basis, as certified by the
17 State Superintendent of Public Instruction to the
18 school districts of the county where such pupils
19 attend school regardless of residence of such pupil,
20 provided the school district makes an ad valorem tax
21 levy of fifteen (15) mills for the current year and
22 maintains twelve (12) years of instruction;

1 4. For all monies collected from the tax levied on natural gas
2 and/or casinghead gas at a tax rate of one percent (1%) pursuant to
3 the provisions of subsection B of Section 1001 of this title:

4 a. fifty percent (50%) of the sum collected from natural
5 gas and/or casinghead gas shall be paid to the various
6 county treasurers to be credited to the County Highway
7 Fund as follows: Each county shall receive a
8 proportionate share of the funds available based upon
9 the proportion of the total value of production from
10 such county in the corresponding month of the
11 preceding year, and

12 b. fifty percent (50%) shall be allocated to each county
13 as provided for in subparagraph a of this paragraph
14 and shall be apportioned, on an average daily
15 attendance per capita distribution basis, as certified
16 by the State Superintendent of Public Instruction to
17 the school districts of the county where such pupils
18 attend school regardless of residence of such pupil,
19 provided the school district makes an ad valorem tax
20 levy of fifteen (15) mills for the current year and
21 maintains twelve (12) years of instruction;

22 5. For all monies collected from the tax levied on natural gas
23 and/or casinghead gas at a tax rate of two percent (2%) pursuant to
24

1 the provisions of paragraph 3 of subsection B of Section 1001 of
2 this title:

3 a. after the total revenue apportioned to the General
4 Revenue Fund as prescribed by subparagraph b of this
5 paragraph equals the moving five-year average amount
6 for gas as defined by paragraph 1 of subsection A of
7 this section, there shall be apportioned from the
8 gross production tax levy imposed pursuant to Section
9 1001 of this title on gas:

10 (1) seventy-five percent (75%) to the Revenue

11 Stabilization Fund created by Section 34.102 of
12 Title 62 of the Oklahoma Statutes, the amount of
13 revenue, if any, which exceeds the moving five-
14 year average amount for natural gas and/or
15 casinghead gas as defined pursuant to paragraph 1
16 of subsection A of this section, and

17 (2) twenty-five percent (25%) to the Taxpayer

18 Endowment Trust Fund created by Section 3 of this
19 act, the amount of revenue, if any, which exceeds
20 the moving five-year average amount for natural
21 gas and/or casinghead gas as defined pursuant to
22 paragraph 1 of subsection A of this section,

23 b. until the apportionment to the General Revenue Fund
24 equals the moving five-year average amount for gas as

1 prescribed by paragraph 1 of subsection A of this
2 section, fifty percent (50%) shall be paid to the
3 State Treasurer to be placed in the General Revenue
4 Fund of the state and used for the general expense of
5 state government, to be paid out pursuant to direct
6 appropriation by the Legislature,

7 c. before any other apportionment of revenue has been
8 made pursuant to this paragraph, twenty-five percent
9 (25%) of the sum collected from natural gas and/or
10 casinghead gas shall be paid to the various county
11 treasurers to be credited to the County Highway Fund
12 as follows: Each county shall receive a proportionate
13 share of the funds available based upon the proportion
14 of the total value of production from such county in
15 the corresponding month of the preceding year, and

16 d. before any other apportionment of revenue has been
17 made pursuant to this paragraph, twenty-five percent
18 (25%) shall be allocated to each county as provided
19 for in subparagraph c of this paragraph and shall be
20 apportioned on an average daily attendance per capita
21 distribution basis, as certified by the State
22 Superintendent of Public Instruction, to the school
23 districts of the county where such pupils attend
24 school regardless of residence of such pupil, provided

1 the school district makes an ad valorem tax levy of
2 fifteen (15) mills for the current year and maintains
3 twelve (12) years of instruction;

4 6. For all monies collected from the tax levied on oil at a tax
5 rate of seven percent (7%) pursuant to the provisions of subsection
6 B of Section 1001 of this title:

7 a. there shall be apportioned from the gross production
8 tax levy imposed pursuant to Section 1001 of this
9 title on oil:

10 (1) seventy-five percent (75%) to the Revenue
11 Stabilization Fund created by Section 34.102 of
12 Title 62 of the Oklahoma Statutes, after the
13 applicable maximum amount prescribed by
14 subsection C of this section has been deposited
15 to the funds therein specified, the amount of
16 revenue, if any, which would otherwise be
17 apportioned to the General Revenue Fund and which
18 exceeds the moving five-year average amount for
19 oil as defined pursuant to paragraph 2 of
20 subsection A of this section, and

21 (2) twenty-five percent (25%) to the Taxpayer
22 Endowment Trust Fund created by Section 3 of this
23 act, after the applicable maximum amount
24 prescribed by subsection C of this section has

1 been deposited to the funds therein specified,
2 the amount of revenue, if any, which would
3 otherwise be apportioned to the General Revenue
4 Fund and which exceeds the moving five-year
5 average amount for oil as defined pursuant to
6 paragraph 2 of subsection A of this section,

7 b. before any other apportionment of revenue has been
8 made pursuant to this paragraph, twenty-five and
9 seventy-two one-hundredths percent (25.72%) shall be
10 paid to the State Treasurer to be placed in the Common
11 Education Technology Revolving Fund created in Section
12 34.90 of Title 62 of the Oklahoma Statutes,

13 c. before any other apportionment of revenue has been
14 made pursuant to this paragraph, twenty-five and
15 seventy-two one-hundredths percent (25.72%) shall be
16 paid to the State Treasurer to be placed in the Higher
17 Education Capital Revolving Fund created in Section
18 34.91 of Title 62 of the Oklahoma Statutes,

19 d. before any other apportionment of revenue has been
20 made pursuant to this paragraph, twenty-five and
21 seventy-two one-hundredths percent (25.72%) shall be
22 paid to the State Treasurer to be placed in the
23 Oklahoma Student Aid Revolving Fund created in Section
24 34.92 of Title 62 of the Oklahoma Statutes,

e. before any other apportionment of revenue has been made pursuant to this paragraph, three and seven hundred forty-five one-thousandths percent (3.745%) shall be distributed to the various counties of the state for deposit into the County Bridge and Road Improvement Fund of each county based on a formula developed by the Department of Transportation and approved by the Department of Transportation County Advisory Board created pursuant to Section 302.1 of Title 69 of the Oklahoma Statutes to be used for the purposes set forth in the County Bridge and Road Improvement Act. The formula shall be similar to the formula currently used for the distribution of monies in the County Bridge Program funds, but shall also take into consideration the effect of the terrain and traffic volume as related to county road improvement and maintenance costs,

f. before any other apportionment of revenue has been made pursuant to this paragraph, four and twenty-eight one-hundredths percent (4.28%) shall be paid to the State Treasurer to be apportioned to:

(1) the following sources and in the following amounts through the fiscal year ending June 30, 2027:

1 (a) thirty-three and one-third percent (33 1/3%)
2 to the Oklahoma Tourism and Recreation
3 Department Capital Expenditure Revolving
4 Fund created pursuant to Section 2254.1 of
5 Title 74 of the Oklahoma Statutes,

6 (b) thirty-three and one-third percent (33 1/3%)
7 to the Oklahoma Conservation Commission
8 Infrastructure Revolving Fund created
9 pursuant to Section 3-2-110 of Title 27A of
10 the Oklahoma Statutes, and

11 (c) thirty-three and one-third percent (33 1/3%)
12 to the Community Water Infrastructure
13 Development Revolving Fund created pursuant
14 to Section 1085.7A of Title 82 of the
15 Oklahoma Statutes, and

16 (2) the Oklahoma Water Resources Board Rural Economic
17 Action Plan Water Projects Fund for the fiscal
18 year beginning July 1, 2027, and for each fiscal
19 year thereafter,

20 g. before any other apportionment of revenue has been
21 made pursuant to this paragraph, seven and fourteen
22 one-hundredths percent (7.14%) of the sum collected
23 from oil shall be paid to the various county
24 treasurers, to be credited to the County Highway Fund

1 as follows: Each county shall receive a proportionate
2 share of the funds available based upon the proportion
3 of the total value of production from such county in
4 the corresponding month of the preceding year,

5 h. before any other apportionment of revenue has been
6 made pursuant to this paragraph, seven and fourteen
7 one-hundredths percent (7.14%) shall be allocated to
8 each county as provided in subparagraph g of this
9 paragraph and shall be apportioned, on an average
10 daily attendance per capita distribution basis, as
11 certified by the State Superintendent of Public
12 Instruction, to the school districts of the county
13 where such pupils attend school regardless of
14 residence of such pupil, provided the school district
15 makes an ad valorem tax levy of fifteen (15) mills for
16 the current year and maintains twelve (12) years of
17 instruction, and

18 i. before any other apportionment of revenue has been
19 made pursuant to this paragraph, five hundred thirty-
20 five one-thousandths percent (0.535%) of the levy
21 shall be transmitted by the Oklahoma Tax Commission to
22 the Statewide Circuit Engineering District Revolving
23 Fund as created in Section 687.2 of Title 69 of the
24 Oklahoma Statutes;

1 7. For all monies collected from the tax levied on oil at a tax
2 rate of four percent (4%) pursuant to the provisions of subsection B
3 of Section 1001 of this title:

4 a. there shall be apportioned from the gross production
5 tax levy imposed pursuant to Section 1001 of this
6 title on oil:

7 (1) seventy-five percent (75%) to the Revenue
8 Stabilization Fund created by Section 34.102 of
9 Title 62 of the Oklahoma Statutes, after the
10 applicable maximum amount prescribed by
11 subsection C of this section has been deposited
12 to the funds therein specified, the amount of
13 revenue, if any, which would otherwise be
14 apportioned to the General Revenue Fund and which
15 exceeds the moving five-year average amount for
16 oil as defined pursuant to paragraph 2 of
17 subsection A of this section, and

18 (2) twenty-five percent (25%) to the Taxpayer
19 Endowment Trust Fund created by Section 3 of this
20 act, after the applicable maximum amount
21 prescribed by subsection C of this section has
22 been deposited to the funds therein specified,
23 the amount of revenue, if any, which would
24 otherwise be apportioned to the General Revenue

Fund and which exceeds the moving five-year
average amount for oil as defined pursuant to
paragraph 2 of subsection A of this section,

- b. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-two and one-half percent (22.5%) shall be paid to the State Treasurer to be placed in the Common Education Technology Revolving Fund created in Section 34.90 of Title 62 of the Oklahoma Statutes,
- c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-two and one-half percent (22.5%) shall be paid to the State Treasurer to be placed in the Higher Education Capital Revolving Fund created in Section 34.91 of Title 62 of the Oklahoma Statutes,
- d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-two and one-half percent (22.5%) shall be paid to the State Treasurer to be placed in the Oklahoma Student Aid Revolving Fund created in Section 34.92 of Title 62 of the Oklahoma Statutes,
- e. before any other apportionment of revenue has been made pursuant to this paragraph, three and twenty-eight one-hundredths percent (3.28%) shall be

1 distributed to the various counties of the state for
2 deposit into the County Bridge and Road Improvement
3 Fund of each county based on a formula developed by
4 the Department of Transportation and approved by the
5 Department of Transportation County Advisory Board
6 created pursuant to Section 302.1 of Title 69 of the
7 Oklahoma Statutes to be used for the purposes set
8 forth in the County Bridge and Road Improvement Act.
9 The formula shall be similar to the formula currently
10 used for the distribution of monies in the County
11 Bridge Program funds, but shall also take into
12 consideration the effect of the terrain and traffic
13 volume as related to county road improvement and
14 maintenance costs,

15 f. before any other apportionment of revenue has been
16 made pursuant to this paragraph, three and seventy-
17 five one-hundredths percent (3.75%) shall be paid to
18 the State Treasurer to be apportioned to:

19 (1) the following sources and in the following
20 amounts through the fiscal year ending June 30,
21 2027:

22 (a) thirty-three and one-third percent (33 1/3%)
23 to the Oklahoma Tourism and Recreation
24 Department Capital Expenditure Revolving

Fund created pursuant to Section 2254.1 of
Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%)
to the Oklahoma Conservation Commission
Infrastructure Revolving Fund created
pursuant to Section 3-2-110 of Title 27A of
the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%)
to the Community Water Infrastructure
Development Revolving Fund created pursuant
to Section 1085.7A of Title 82 of the
Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic
Action Plan Water Projects Fund for the fiscal
year beginning July 1, 2027, and for each fiscal
year thereafter,

g. before any other apportionment of revenue has been
made pursuant to this paragraph, twelve and one-half
percent (12.5%) of the sum collected from oil shall be
paid to the various county treasurers, to be credited
to the County Highway Fund as follows: Each county
shall receive a proportionate share of the funds
available based upon the proportion of the total value

1 of production from such county in the corresponding
2 month of the preceding year,

3 h. before any other apportionment of revenue has been
4 made pursuant to this paragraph, twelve and one-half
5 percent (12.5%) shall be allocated to each county as
6 provided in subparagraph g of this paragraph and shall
7 be apportioned on an average daily attendance per
8 capita distribution basis, as certified by the State
9 Superintendent of Public Instruction, to the school
10 districts of the county where such pupils attend
11 school regardless of residence of such pupil, provided
12 the school district makes an ad valorem tax levy of
13 fifteen (15) mills for the current year and maintains
14 twelve (12) years of instruction, and

15 i. before any other apportionment of revenue has been
16 made pursuant to this paragraph, forty-seven one-
17 hundredths percent (0.47%) of the levy shall be
18 transmitted by the Tax Commission to the Statewide
19 Circuit Engineering District Revolving Fund as created
20 in Section 687.2 of Title 69 of the Oklahoma Statutes;

21 8. For all monies collected from the tax levied on oil at a tax
22 rate of one percent (1%) pursuant to the provisions of subsection B
23 of Section 1001 of this title:
24

1 a. fifty percent (50%) of the sum collected shall be paid
2 to the various county treasurers, to be credited to
3 the County Highway Fund as follows: Each county shall
4 receive a proportionate share of the funds available
5 based upon the proportion of the total value of
6 production from such county in the corresponding month
7 of the preceding year, and

8 b. fifty percent (50%) shall be allocated to each county
9 as provided for in subparagraph a of this paragraph
10 and shall be apportioned on an average daily
11 attendance per capita distribution basis, as certified
12 by the State Superintendent of Public Instruction, to
13 the school districts of the county where such pupils
14 attend school regardless of residence of such pupil,
15 provided the school district makes an ad valorem tax
16 levy of fifteen (15) mills for the current year and
17 maintains twelve (12) years of instruction;

18 9. For all monies collected from the tax levied on oil at a tax
19 rate of two percent (2%) pursuant to the provisions of paragraph 3
20 of subsection B of Section 1001 of this title:

21 a. there shall be apportioned from the gross production
22 tax levy imposed pursuant to Section 1001 of this
23 title on oil:
24

1 (1) seventy-five percent (75%) to the Revenue
2 Stabilization Fund created by Section 34.102 of
3 Title 62 of the Oklahoma Statutes, the amount of
4 revenue, if any, which exceeds the moving five-
5 year average amount for oil as defined pursuant
6 to paragraph 2 of subsection A of this section,
7 and

8 (2) twenty-five percent (25%) to the Taxpayer
9 Endowment Trust Fund created by Section 3 of this
10 act, the amount of revenue, if any, which exceeds
11 the moving five-year average amount for oil as
12 defined pursuant to paragraph 2 of subsection A
13 of this section,

14 b. until the apportionment to the General Revenue Fund
15 equals the moving five-year average amount for oil as
16 prescribed by paragraph 2 of subsection A of this
17 section, fifty percent (50%) shall be paid to the
18 State Treasurer to be placed in the General Revenue
19 Fund of the state and used for the general expense of
20 state government, to be paid out pursuant to direct
21 appropriation by the Legislature,

22 c. before any other apportionment of revenue has been
23 made pursuant to this paragraph, twenty-five percent
24 (25%) of the sum collected from oil shall be paid to

1 the various county treasurers, to be credited to the
2 County Highway Fund as follows: Each county shall
3 receive a proportionate share of the funds available
4 based upon the proportion of the total value of
5 production from such county in the corresponding month
6 of the preceding year, and

7 d. before any other apportionment of revenue has been
8 made pursuant to this paragraph, twenty-five percent
9 (25%) shall be allocated to each county as provided in
10 subparagraph c of this paragraph and shall be
11 apportioned on an average daily attendance per capita
12 distribution basis, as certified by the State
13 Superintendent of Public Instruction, to the school
14 districts of the county where such pupils attend
15 school regardless of residence of such pupil, provided
16 the school district makes an ad valorem tax levy of
17 fifteen (15) mills for the current year and maintains
18 twelve (12) years of instruction;

19 10. On or after June 28, 2018 and before July 1, 2025, the
20 gross production tax levied on natural gas or casinghead gas at the
21 rate of five percent (5%) provided for in paragraph 3 of subsection
22 B of Section 1001 of this title shall be apportioned as follows:

23 a. after the total revenue apportioned to the General
24 Revenue Fund as prescribed by subparagraph b of this

1 paragraph equals the moving five-year average amount
2 for gas as defined by paragraph 1 of subsection A of
3 this section, there shall be apportioned from the
4 gross production tax levy imposed pursuant to Section
5 1001 of this title on natural gas and/or casinghead
6 gas:

7 (1) seventy-five percent (75%) to the Revenue

8 Stabilization Fund created pursuant to Section
9 34.102 of Title 62 of the Oklahoma Statutes, the
10 amount of revenue, if any, which exceeds the
11 moving five-year average amount for gas as
12 defined pursuant to paragraph 1 of subsection A
13 of this section, and

14 (2) twenty-five percent (25%) to the Taxpayer

15 Endowment Trust Fund created by Section 3 of this
16 act, the amount of revenue, if any, which exceeds
17 the moving five-year average amount for gas as
18 defined pursuant to paragraph 1 of subsection A
19 of this section,

20 b. until the apportionment to the General Revenue Fund
21 equals the moving five-year average amount for gas as
22 prescribed by paragraph 1 of subsection A of this
23 section, eighty percent (80%) shall be paid to the
24 State Treasurer of the state to be placed in the

General Revenue Fund of the state and used for the general expense of state government, to be paid out pursuant to direct appropriation by the Legislature,

c. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) of the sum collected from natural gas and/or casinghead gas shall be paid to the various county treasurers to be credited to the County Highway Fund as follows:

Each county shall receive a proportionate share of the funds available based upon the proportion of the total value of production from such county in the corresponding month of the preceding year,

d. before any other apportionment of revenue has been made pursuant to this paragraph, ten percent (10%) shall be allocated to each county as provided for in subparagraph c of this paragraph and shall be apportioned, on an average daily attendance per capita distribution basis, as certified by the State Superintendent of Public Instruction to the school districts of the county where such pupils attend school regardless of residence of such pupil, provided the school district makes an ad valorem tax levy of fifteen (15) mills for the current year and maintains twelve (12) years of instruction;

1 11. Beginning July 1, 2025, the gross production tax levied on
2 natural gas or casinghead gas at the rate of five percent (5%)
3 provided for in paragraph 3 of subsection B of Section 1001 of this
4 title shall be apportioned as follows:

5 a. after the total revenue apportioned to the General
6 Revenue Fund as prescribed by subparagraph b of this
7 paragraph equals the moving five-year average amount
8 for gas as defined by paragraph 1 of subsection A of
9 this section, there shall be apportioned from the
10 gross production tax levy imposed pursuant to Section
11 1001 of this title on natural gas and/or casinghead
12 gas:

13 (1) seventy-five percent (75%) to the Revenue
14 Stabilization Fund created pursuant to Section
15 34.102 of Title 62 of the Oklahoma Statutes, the
16 amount of revenue, if any, which exceeds the
17 moving five-year average amount for gas as
18 defined pursuant to paragraph 1 of subsection A
19 of this section, and

20 (2) twenty-five percent (25%) to the Taxpayer
21 Endowment Trust Fund created by Section 3 of this
22 act, the amount of revenue, if any, which exceeds
23 the moving five-year average amount for gas as
24

1 defined pursuant to paragraph 1 of subsection A
2 of this section,

3 b. until the apportionment to the General Revenue Fund
4 equals the moving five-year average amount for gas as
5 prescribed by paragraph 1 of subsection A of this
6 section, forty percent (40%) shall be paid to the
7 State Treasurer of the state to be placed in the
8 General Revenue Fund of the state and used for the
9 general expense of state government, to be paid out
10 pursuant to direct appropriation by the Legislature,

11 c. before any other apportionment of revenue has been
12 made pursuant to this paragraph, ten percent (10%) of
13 the sum collected from natural gas and/or casinghead
14 gas shall be paid to the various county treasurers to
15 be credited to the County Highway Fund as follows:
16 Each county shall receive a proportionate share of the
17 funds available based upon the proportion of the total
18 value of production from such county in the
19 corresponding month of the preceding year,

20 d. before any other apportionment of revenue has been
21 made pursuant to this paragraph, ten percent (10%)
22 shall be allocated to each county as provided for in
23 subparagraph c of this paragraph and shall be
24 apportioned, on an average daily attendance per capita

1 distribution basis, as certified by the State
2 Superintendent of Public Instruction to the school
3 districts of the county where such pupils attend
4 school regardless of residence of such pupil, provided
5 the school district makes an ad valorem tax levy of
6 fifteen (15) mills for the current year and maintains
7 twelve (12) years of instruction, and

8 e. before any other apportionment of revenue has been
9 made pursuant to this paragraph, forty percent (40%)
10 shall be remitted to the State Treasurer to be
11 credited to the Preserving and Advancing County
12 Transportation Fund created in Section ~~4~~ 508 of ~~this~~
13 ~~act~~ Title 69 of the Oklahoma Statutes, but in no event
14 shall the total amount apportioned in any fiscal year
15 pursuant to this subparagraph exceed Seventy-five
16 Million Dollars (\$75,000,000.00). Any amounts in
17 excess of Seventy-five Million Dollars
18 (\$75,000,000.00) shall be placed in the General
19 Revenue Fund of the state and used for the general
20 expense of state government, to be paid out pursuant
21 to direct appropriation by the Legislature; and

22 12. On or after June 28, 2018, the gross production tax on oil
23 levied at the rate of five percent (5%) provided for in paragraph 3
24

1 of subsection B of Section 1001 of this title shall be apportioned
2 as follows:

3 a. there shall be apportioned from the gross production
4 tax levy imposed pursuant to Section 1001 of this
5 title on oil:

6 (1) seventy-five percent (75%) to the Revenue
7 Stabilization Fund created by Section 34.102 of
8 Title 62 of the Oklahoma Statutes, after the
9 applicable maximum amount prescribed by
10 subsection C of this section has been deposited
11 to the funds therein specified, the amount of
12 revenue, if any, which would otherwise be
13 apportioned to the General Revenue Fund and which
14 exceeds the moving five-year average amount for
15 oil as defined pursuant to paragraph 2 of
16 subsection A of this section, and

17 (2) twenty-five percent (25%) to the Taxpayer
18 Endowment Trust Fund created by Section 3 of this
19 act, after the applicable maximum amount
20 prescribed by subsection C of this section has
21 been deposited to the funds therein specified,
22 the amount of revenue, if any, which would
23 otherwise be apportioned to the General Revenue
24 Fund and which exceeds the moving five-year

average amount for oil as defined pursuant to
paragraph 2 of subsection A of this section,

- b. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-three and seventy-five one-hundredths percent (23.75%) shall be paid to the State Treasurer to be placed in the Common Education Technology Revolving Fund created in Section 34.90 of Title 62 of the Oklahoma Statutes,
- c. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-three and seventy-five one-hundredths percent (23.75%) shall be paid to the State Treasurer to be placed in the Higher Education Capital Revolving Fund created in Section 34.91 of Title 62 of the Oklahoma Statutes,
- d. before any other apportionment of revenue has been made pursuant to this paragraph, twenty-three and seventy-five one-hundredths percent (23.75%) shall be paid to the State Treasurer to be placed in the Oklahoma Student Aid Revolving Fund created in Section 34.92 of Title 62 of the Oklahoma Statutes,
- e. before any other apportionment of revenue has been made pursuant to this paragraph, three and twenty-eight one-hundredths percent (3.28%) shall be distributed to the various counties of the state for

1 deposit into the County Bridge and Road Improvement
2 Fund of each county based on a formula developed by
3 the Department of Transportation and approved by the
4 Department of Transportation County Advisory Board
5 created pursuant to Section 302.1 of Title 69 of the
6 Oklahoma Statutes to be used for the purposes set
7 forth in the County Bridge and Road Improvement Act.
8 The formula shall be similar to the formula currently
9 used for the distribution of monies in the County
10 Bridge Program funds, but shall also take into
11 consideration the effect of the terrain and traffic
12 volume as related to county road improvement and
13 maintenance costs,

14 f. before any other apportionment of revenue has been
15 made pursuant to this paragraph, five percent (5%)
16 shall be paid to the State Treasurer to be apportioned
17 to:

18 (1) the following sources and in the following
19 amounts through the fiscal year ending June 30,
20 2027:

21 (a) thirty-three and one-third percent (33 1/3%)
22 to the Oklahoma Tourism and Recreation
23 Department Capital Expenditure Revolving
24

Fund created pursuant to Section 2254.1 of
Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%)
to the Oklahoma Conservation Commission
Infrastructure Revolving Fund created
pursuant to Section 3-2-110 of Title 27A of
the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%)
to the Community Water Infrastructure
Development Revolving Fund created pursuant
to Section 1085.7A of Title 82 of the
Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic
Action Plan Water Projects Fund for the fiscal
year beginning July 1, 2027, and for each fiscal
year thereafter,

g. before any other apportionment of revenue has been
made pursuant to this paragraph, ten percent (10%) of
the sum collected from oil shall be paid to the
various county treasurers, to be credited to the
County Highway Fund as follows: Each county shall
receive a proportionate share of the funds available
based upon the proportion of the total value of

1 production from such county in the corresponding month
2 of the preceding year,

3 h. before any other apportionment of revenue has been
4 made pursuant to this paragraph, ten percent (10%)
5 shall be allocated to each county as provided in
6 subparagraph g of this paragraph and shall be
7 apportioned on an average daily attendance per capita
8 distribution basis, as certified by the State
9 Superintendent of Public Instruction, to the school
10 districts of the county where such pupils attend
11 school regardless of residence of such pupil, provided
12 the school district makes an ad valorem tax levy of
13 fifteen (15) mills for the current year and maintains
14 twelve (12) years of instruction, and

15 i. before any other apportionment of revenue has been
16 made pursuant to this paragraph, forty-seven one-
17 hundredths percent (0.47%) of the levy shall be
18 transmitted by the Tax Commission to the Statewide
19 Circuit Engineering District Revolving Fund as created
20 in Section 687.2 of Title 69 of the Oklahoma Statutes.

21 C. Provided, notwithstanding any other provision of this
22 section, the total amounts deposited to the Common Education
23 Technology Revolving Fund, the Higher Education Capital Revolving
24 Fund, the Oklahoma Student Aid Revolving Fund, the Rural Economic

1 Action Plan Water Projects Fund, the Oklahoma Tourism and Recreation
2 Department Capital Expenditure Revolving Fund, the Oklahoma
3 Conservation Commission Infrastructure Revolving Fund and the
4 Community Water Infrastructure Development Revolving Fund pursuant
5 to paragraphs 6, 7 and 11 of subsection B of this section shall not
6 exceed One Hundred Fifty Million Dollars (\$150,000,000.00) in any
7 fiscal year. Except as otherwise provided in this subsection, all
8 sums in excess of One Hundred Fifty Million Dollars
9 (\$150,000,000.00) in any fiscal year which would otherwise be
10 deposited in such funds shall be apportioned by the Oklahoma Tax
11 Commission to the General Revenue Fund of the state.

12 SECTION 12. AMENDATORY 68 O.S. 2021, Section 2352, is
13 amended to read as follows:

14 Section 2352. It is hereby declared to be the purpose of
15 Section 2351 et seq. of this title to provide revenue for general
16 governmental functions of state government; and, for that purpose
17 and to that end, it is expressly declared that the revenue derived
18 herefrom and penalties and interest thereon, subject to the
19 apportionment requirements for the Rebuilding Oklahoma Access and
20 Driver Safety Fund, the Oklahoma Tourism and Passenger Rail
21 Revolving Fund, the Public Transit Revolving Fund and the Education
22 Reform Revolving Fund to be derived from income tax revenue that
23 would otherwise be apportioned to the General Revenue Fund as
24 provided by Section 1521 of Title 69 of the Oklahoma Statutes,

subject to the apportionment requirements for the Oklahoma Tax Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, and subject to the apportionment requirements for the Oklahoma State Capitol Building Repair and Restoration Fund provided by Section 19 of Title 73 of the Oklahoma Statutes, shall be distributed as follows:

1. For the fiscal year beginning July 1, 2002, the first Five Million Eight Hundred Thousand Dollars (\$5,800,000.00) of revenue derived pursuant to the provisions of subsections A, B and E of Section 2355 of this title shall be apportioned to the Education Reform Revolving Fund. The remainder of such revenue for the fiscal year beginning July 1, 2002, and all such revenue for each fiscal year thereafter shall be apportioned monthly as follows:

a. the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	87.12%
FY 2005	86.91%
FY 2006	86.66%
FY 2007	86.16%

FY 2008 through FY 2022 85.66%

FY 2023 through FY 2027 85.41%

FY 2028 and each fiscal year thereafter 85.66%

Of the funds apportioned to the General Revenue Fund pursuant to this subparagraph, until the expiration of the Filmed in Oklahoma Act of 2021 as provided in Section 11 of this act, Thirty Million Dollars (\$30,000,000.00) shall be transferred to the Oklahoma Tax Commission for deposit in the Filmed in Oklahoma Program Revolving Fund,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, eight and thirty-four one-hundredths percent (8.34%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, eight and thirty-four one-hundredths percent (8.34%), and

(b) for the month beginning September 1, 2020, through the month ending June 30, 2021, nine

1 and eighty-four one-hundredths percent

2 (9.84%),

3 (3) for FY 2022 and each fiscal year thereafter,

4 eight and thirty-four one-hundredths percent

5 (8.34%) shall be paid to the State Treasurer to

6 be placed to the credit of the Education Reform

7 Revolving Fund,

8 c. the following amounts shall be paid to the State

9 Treasurer to be placed to the credit of the Teachers'

10 Retirement System Dedicated Revenue Revolving Fund:

11 Fiscal Year	Amount
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12 FY 2003 and FY 2004	3.54%
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13 FY 2005	3.75%
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14 FY 2006	4.0%
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15 FY 2007	4.5%
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16 FY 2008 through FY 2020	5.0%
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17 FY 2021:

18 (1) for the month beginning

19 July 1, 2020, through

20 the month ending August

21 31, 2020	5.0%
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22 (2) for the month beginning

23 September 1, 2020,

24

through the month ending

June 30, 2021 3.5%

FY 2022 5.0%

FY 2023 through FY 2027 5.25%

FY 2028 and each fiscal
year thereafter 5.0%

d. for FY 2003 and each fiscal year thereafter, one
percent (1%) shall be placed to the credit of the Ad
Valorem Reimbursement Fund;

2. Beginning July 1, 2003, for any period of time as certified
by the Oklahoma Development Finance Authority and the Oklahoma
Department of Commerce to be necessary for the repayment of
obligations issued by the Oklahoma Development Finance Authority
pursuant to Section 3654 of this title if the other sources of
revenue paid to or apportioned to the Quality Jobs Program Incentive
Leverage Fund are not adequate including the proceeds from payment
pursuant to the guaranty required by subsection M of Section 3654 of
this title, an amount certified by the Oklahoma Development Finance
Authority to the Oklahoma Tax Commission shall be apportioned to the
Quality Jobs Program Incentive Leverage Fund before any other
apportionments are made as otherwise authorized by this paragraph.
The Oklahoma Development Finance Authority shall certify to the
Oklahoma Tax Commission the time as of which the revenue authorized
for apportionment pursuant to this paragraph is no longer required.

1 After the certification, the revenue derived from the income tax
2 shall be apportioned in the manner otherwise provided by this
3 section. Except as otherwise provided by this paragraph, for the
4 fiscal year beginning July 1, 2002, the first Forty-one Million One
5 Hundred Ninety Thousand Eight Hundred Dollars (\$41,190,800.00) of
6 revenue derived pursuant to the provisions of subsections D and E of
7 Section 2355 of this title shall be apportioned to the Education
8 Reform Revolving Fund. The remainder of such revenue for the fiscal
9 year beginning July 1, 2002, and all such revenue for each fiscal
10 year thereafter, subject to the apportionment requirements for the
11 Oklahoma Tax Commission and Office of Management and Enterprise
12 Services Joint Computer Enhancement Fund provided by Section 265 of
13 this title, shall be apportioned monthly as follows:

14 a. the following amounts shall be paid to the State
15 Treasurer to be placed to the credit of the General
16 Revenue Fund of the state for such fiscal year for the
17 support of the state government to be paid out only
18 pursuant to appropriation by the Legislature:

19	Fiscal Year	Amount
20	FY 2003 and FY 2004	78.96%
21	FY 2005	78.75%
22	FY 2006	78.50%
23	FY 2007	78.0%

24

(1) (a) FY 2018 through FY 2022
until the apportionment to
the General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as
prescribed by paragraph 3
of this section 77.50%

(b) FY 2023 through FY 2027
until the apportionment to
the General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as
prescribed by paragraph 3
of this section 77.25%

(c) FY 2028 and each fiscal
year thereafter until the
apportionment to the
General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as

prescribed by paragraph 3

of this section	77.50%
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(2) there shall be apportioned from the tax levy imposed on corporate income tax:

(a) seventy-five percent (75%) to the Revenue Stabilization Fund created by Section 34.102 of Title 62 of the Oklahoma Statutes, ~~or to the Constitutional Reserve Fund, as provided by Section 34.102 of Title 62 of the Oklahoma Statutes,~~ of the amount of revenue, if any, which exceeds the moving five-year average amount as defined pursuant to paragraph 3 of this section, and

(b) twenty-five percent (25%) to the Taxpayer
Endowment Trust Fund created by Section 3 of
this act, of the amount of revenue, if any,
which exceeds the moving five-year average
amount as defined pursuant to paragraph 3 of
this section,

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, sixteen and five-tenths percent (16.5%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020, through the month ending August 31, 2020, sixteen and five-tenths percent (16.5%), and

(b) for the month beginning September 1, 2020, through the month ending June 30, 2021, eighteen percent (18%),

(3) for FY 2022, and each fiscal year thereafter, sixteen and five-tenths percent (16.5%),

c. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	

(1) for the month beginning July 1, 2020, through

1	the month ending August	
2	31, 2020	5.0%
3	(2) for the month beginning	
4	September 1, 2020,	
5	through the month ending	
6	June 30, 2021	3.5%
7	FY 2022	5.0%
8	FY 2023 through FY 2027	5.25%
9	FY 2028 and each fiscal	
10	year thereafter	5.0%
11	d. for FY 2003 and each fiscal year thereafter, one	
12	percent (1%) shall be placed to the credit of the Ad	
13	Valorem Reimbursement Fund; and	

14 3. "Moving five-year average for corporate income tax" means,
15 for purposes of the apportionments prescribed by this section, the
16 amount of income tax on corporations, as determined by the State
17 Board of Equalization in the manner prescribed by Section 34.103 of
18 Title 62 of the Oklahoma Statutes.

19 SECTION 13. The provisions of this act are severable and if any
20 part or provision shall be held void the decision of the court so
21 holding shall not affect or impair any of the remaining parts or
22 provisions of this act.

23 SECTION 14. This act shall become effective July 1, 2026.

24

1 SECTION 15. It being immediately necessary for the preservation
2 of the public peace, health or safety, an emergency is hereby
3 declared to exist, by reason whereof this act shall take effect and
4 be in full force from and after its passage and approval.

5 Passed the House of Representatives the 14th day of April, 2026.

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8

Presiding Officer of the House
of Representatives

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10 Passed the Senate the _____ day of _____, 2026.

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Presiding Officer of the Senate

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